

Strategic Risk: The Risks “of” and “to” a Strategy: The Case of Blockbuster and the Need for Strategic Flexibility

Michael E. Raynor

In the realms of physical, intangible and financial risk management, the topics of the previous chapters, the primary goal is to optimize a company’s ability to achieve its objectives despite the uncertainty surrounding future events. Bad luck, incompetence, or malfeasance—each of which can be dimensions of an organization’s internal context—can derail even the best-laid plans. Quite reasonably, much of risk management assumes that the plans themselves, if implemented as intended, will achieve specified objectives, and that achieving those objectives will deliver the desired outcomes.

Other risks lie entirely in a company’s external context, risks that threaten an organization’s very existence because they undermine not merely the execution of a plan, but the value of the objectives themselves. The risk that a company is pursuing the wrong objectives can be thought of as “strategic risk.”

There are further two types of strategic risk: the risks *of* a strategy and the risks *to* a strategy. The risks *of* a strategy are created by the choices that define the strategy itself. That is, in choosing to compete in one way—e.g., with a low-cost position or a highly differentiated one—a company necessarily becomes *unable* to compete in another way. If the path you have chosen turns out to be economically unviable because consumer tastes change or because new competitors make different choices that consumers prefer, then you have been undone by the risks *of* your strategy.

Risks *to* a strategy are risks arising from new competitors that find ways to invalidate the choices you made. Whereas your strategy might have been based on providing low-cost solutions that were lower-performance, a competitor that finds a way to provide high performance at low cost creates a risk *to* your strategy. In both cases, you might find yourself implementing your strategy very effectively yet fail to achieve the results you seek because the strategies themselves have been undermined.

To illustrate, consider the case of Blockbuster, the once-ubiquitous video rental chain.¹ Its first store opened in 1985 in Dallas, Texas. The details of the company’s growth are unique, but

the essence of its story is universal. Beneath the inevitable drama of acquisitions, competitive struggles, and personality clashes, Blockbuster's success was built around holding on tight to two rules that drive long-term success. First, don't compete on price; that's a race that has only one winner. Second, don't rely on cost leadership as a source of superior profits; that's self-immolation to a false god.

The general case for these rules is made in prior research.² In the case of the video rental industry, consider that during the 1980s, tens of thousands of mom-and-pop stores tried to stay afloat by cutting prices and just about every convenience store in the United States tried to create "free revenue" by cramming a few dozen tapes into their magazine racks. Blockbuster, on the other hand, competed on selection, stocking not only the latest blockbusters, but also building a carefully chosen catalogue based on an analysis of neighborhood demographics. That selection came at a price, however: Building out lots of large stores and keeping them stocked was an expensive proposition. To pay for it all, Blockbuster did not focus on the "obvious" price—the rental fee—but instead on the far less obvious price that few customers think they will need to pay: the late fees.

This was pure strategic brilliance. The video rental business had been characterized by cut-throat price-based competition and commodity products. In response, Blockbuster created strong differentiation and barriers to entry by providing asset-efficient availability and selection and generating superior profitability through a price premium that was largely invisible to customers. At its peak, in 2004, the company had more than 9,000 stores and more than 60,000 employees.

Blockbuster's relatively rapid and total collapse is perhaps the only thing more dramatic than its impressive rise. Filing for Chapter 11 bankruptcy protection in September 2010, the dwindling asset base was picked up by Dish Network in April of 2011. As operations around the world were divested or closed down, Dish explored a variety of new (for Blockbuster) approaches, including by-mail and online options, but to no avail. On November 6, 2013, the last video rented out by a Blockbuster store was, in what had to be a deliberate irony, *This Is the End*, a movie about the apocalypse.

The mere fact of Blockbuster's demise is not a reason to think that anything went particularly wrong. Nothing lasts forever, and a curious fact of the study of decision-making is that simply because a decision made under uncertainty yielded a bad result doesn't mean that it was a bad decision. Even so, these inescapable facts of the human condition did not dictate the nature or timing of Blockbuster's demise. Neither was it bad luck, incompetence, or malfeasance that proved the company's undoing. Rather, it was largely Netflix's fault. More remarkable still, Netflix's success was not a function of finding a way to do better what Blockbuster had been doing. Rather, Netflix found a way to change the game—to invalidate the assumptions that had made Blockbuster's strategy so successful.

In other words, Blockbuster didn't go "blockbusted" because it was unable to implement its chosen strategy. It came undone because its strategy was simply no longer viable thanks to the actions of, in this case, a specific competitor. Blockbuster is no more not because it failed to grapple with the risks associated with its internal context, but because it failed to assess correctly a specific risk in its external context—specifically, the risks *of* and *to* its strategy.

Tradeoffs and the Risks of a Strategy

Strategic is a term that in general usage has indistinct contours. As a colloquialism, it is often little more than a synonym for “important.” This meaning-in-use will not suffice when addressing the concept of risk, for a strategic risk is something much more precise than simply an “important” risk.

Every company has an “activity set”—those activities it performs that allow it to provide products or services that customers value. An automobile manufacturer, for example, must design, manufacture, sell, and service its cars—either on its own or via a more extended ecosystem.

Every company’s activity set is subject to certain constraints, limits on what it can do and at what cost. These constraints are determined by engineering tradeoffs. For example, a company that has chosen to focus on high-end performance automobiles will typically be unable to provide leading-edge low-end, highly fuel-efficient automobiles—and vice-versa for a company focused on the low end. Think of the range of what each company can produce as its own possibility frontier. The possibility frontier for the industry is therefore that segment of each company’s individual frontier that is farther from the origin than any other company’s frontier (Figure 16-1).

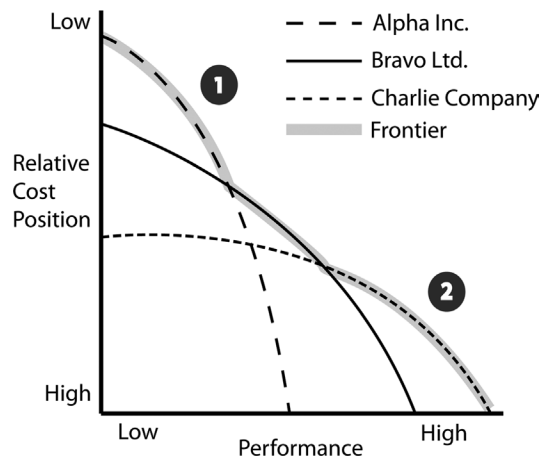


FIGURE 16-1 Imagine for a moment an automobile industry with only three competitors: Alpha, Bravo, and Charlie. Each company is able to provide cars with different performance attributes at different costs, and the range of cars each company can provide defines each company’s possibility frontier. The frontier for the industry is the concatenation of all the maxima for the three companies—that is, the combination of the highlighted segments of each company’s frontier. Where a company’s frontier is the above all the others (the highlighted segments), it enjoys a particularly powerful competitive position: It can provide the highest level of performance at a given cost. The value of that position will be a function of how many customers want cars with those performance attributes and how much more than the company’s cost they are willing to pay. Where a company’s frontier lies relatively close to another company’s, in the vicinity of points 1 and 2, competition can be fierce, especially if large numbers of customers desire cars having those performance attributes. *Source: Adapted from Porter (1996) and Raynor (2011).*

A company's strategy can be usefully thought of as the tradeoffs the company embraces with the intent of creating an activity set with some segment of that activity set's possibility frontier defining the industry's possibility frontier.³ That is a somewhat cumbersome, but precise, way of saying that a company's strategy consists of the choices it makes to serve some segment of the market better than the competition does.

The risks *of* a strategy are the risks arising from the tradeoffs embedded in a particular activity set. If you are good at serving the low end of the market, you are unlikely to be good at serving the high end of the market. Your strategic bet, the strategic risk you accept, is that there will be enough customers to make your strategy economically viable. You still have to deal with physical, intangible, and financial risks in the execution of your strategy, but these risks are quite different from the risks that arise from the tradeoffs that define the strategy—risks that, though manageable, are inescapable.

Blockbuster's nearly twenty-year run of success can be attributed to a terrific strategy: Its activity set consisted of a relatively asset-intensive, but asset-efficient, approach enabled by savvy data management. (It would have been called "big data" if we had had that term in the late 1990s.) Other providers—the mom-and-pop shops and the opportunistic grocery stores—had much lower investment levels and lower absolute costs, but that meant they couldn't match Blockbuster's availability of hit titles or provide an appropriate back catalogue. At best, they pipped Blockbuster in the "convenience" or "impulse purchase" category when they happened to have just the right movie at just the right time in just the right place. In more technical terms, the tradeoffs that Blockbuster embraced meant that its productivity frontier defined a segment of the industry's frontier that more closely matched the requirements of a great many more customers (Figure 16-2).

When Netflix first entered the fray, in 1997, there were two new elements of its activity set, or "business model," to use a more conventional term. First, the company had an exclusively online interface, and videos were delivered via the U.S. Postal service. Like Blockbuster, videos

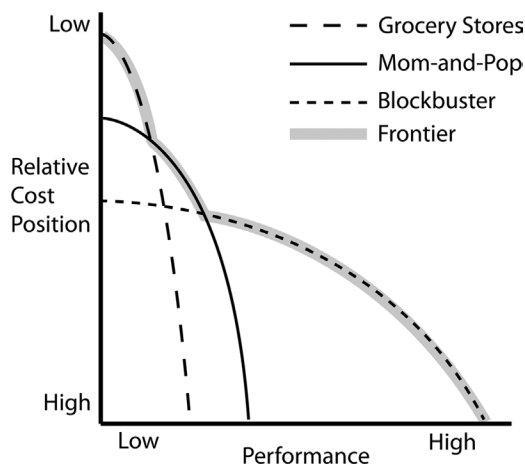


FIGURE 16-2 The video rental industry's possibility frontier c. 1995.

were rented one at a time, and late fees applied—even though it was (perhaps apocryphally) a \$40 late fee that Reed Hastings, one of Netflix’s founders, had been assessed by Blockbuster on his rental of *Apollo 13* that had motivated him to launch the company.

In terms of its possibility frontier, Netflix had embraced a different set of tradeoffs. It was offering one sort of convenience (you didn’t have to leave your home to select or receive a DVD) at the expense of another (you had to wait for the video to be delivered). These tradeoffs had one additional advantage: They allowed Netflix to launch at much lower cost than a brick-and-mortar rental outlet; Hastings invested only \$2.5 million of a \$700 million payday on the sale of his software startup, Pure Software, whereas Blockbuster had to deploy thousands of stores and construct multi-million-dollar warehouses to achieve the sort of nationwide coverage Netflix achieved from its inception.

The dimensions of convenience embodied in the two companies’ respective activity sets were very different. Consequently, Netflix—like the grocery stores and single-location players before it—served to define more sharply the risks *of* Blockbuster’s strategy. That is, Blockbuster had bet that enough customers would value what it could offer sufficiently highly that the company would have a viable business. Alternative providers were making different bets. As new providers make different bets, the risks *of* a strategy increase. Netflix defined a new risk *of* Blockbuster’s strategy, insofar as it might turn out that many customers would actually prefer to wait several days for a single DVD rented from a company with less selection that was marginally less expensive than what was available at Blockbuster.

Whatever Netflix’s early success, however, the risks *of* Blockbuster’s strategy did not materialize in any significant way. Blockbuster’s possibility frontier still defined most of the industry’s frontier.

Innovation and the Risks *to* a Strategy

As is often the case with new ventures, however, Netflix’s initial model evolved dramatically and rapidly. By 2000, the company had migrated to a monthly all-you-can-watch subscription (subject to a limit on the number of DVDs being rented at any one time), dropping both late fees and explicit charges for postal service. In addition, the online interaction with customers allowed Netflix to gather detailed customer-specific information on what people were watching and, consequently, to make customer-specific suggestions about what they might like to watch. This led to the development of powerful “suggestion engines” that directed customers to movies they might not have otherwise considered but were likely to enjoy. Consequently, Netflix could now guide customers to movies it had in stock, mitigating customer frustrations at not finding what they were originally looking for.

Where strategy is embracing different constraints in order to serve specific customer segments with more targeted offerings, *innovation* can be seen as breaking the constraints that define the limits of a given strategy. When a competitor pursues a different strategy than you, they manifest a risk *of* your strategy: They might have guessed better about which sets of tradeoffs customers will value more. Netflix in 1997 served to define some of the risks *of* Blockbuster’s strategy: Providing convenience and selection meant asset intensity and higher costs. Lower prices meant waiting.

When a competitor begins breaking the constraints that define your strategy, it is *innovating* in ways that pose a threat *to* your strategy: The tradeoffs that separated the two of you begin to erode, and your competitor is able to provide similar or better products and services at lower or similar cost.

Netflix's changes between 1997 and 2000 served to break some of the tradeoffs that had defined Netflix's and Blockbuster's initial strategies. Netflix had dramatically lowered the per-video cost by shifting to a subscription model; it had dramatically changed its relationship with customers by creating "watch lists"; it had blunted the "out-of-stock" problem with its accurate suggestion algorithms. In other words, Netflix was no longer merely embracing different tradeoffs in the pursuit of strategic differentiation. It had innovated and so expanded the possibility frontier of its activity set, allowing Netflix to occupy a greater expanse of the industry's possibility frontier. Netflix no longer served merely to define the risks *of* Blockbuster's strategy by highlighting the tradeoffs inherent in Blockbuster's model. Instead, Netflix was on the cusp of becoming a threat *to* Blockbuster's strategy by invalidating the assumption that such tradeoffs were binding on all industry players.

The video rental market continued to fragment with the introduction of Redbox in 2003, a kiosk-based rental service that focused on new releases provided at very low cost. Although Redbox could be immediate and convenient in a way that Netflix couldn't, and thanks to its low capital and operating costs could offer its services at much lower prices than Blockbuster, its kiosks could initially stock only 100 disks, which made it difficult to maintain Blockbuster's levels of availability and selection.

Because it embraced a different set of tradeoffs, Redbox served largely to define new risks *of* Blockbuster's strategy. But then, as with Netflix, innovation kicked in: Improvements in kiosk design increased inventory to over 700 discs, dramatically lowering the "stock-out" rate while increasing selection. Connecting the kiosks with an online interface allowed Redbox customers to determine availability in advance and reserve titles for pickup. All this without compromising its structurally lower costs, which kept Redbox's prices lower than Blockbuster's, even as Redbox enjoyed strong profitability (Figure 16-3).

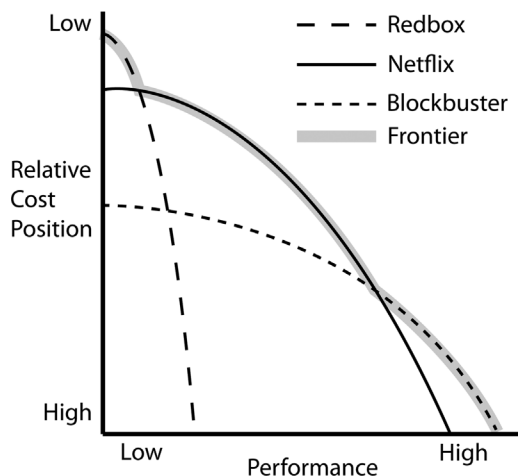


FIGURE 16-3 The video rental industry's possibility frontier c. 2004.

By 2004—the peak of Blockbuster’s growth—the strategic landscape had changed in ways that had greatly increased both the risks *of* Blockbuster’s strategy and the risks *to* that strategy. Those portions of the industry’s possibility frontier that had been captured by Netflix and Redbox had dramatically reduced that portion of Blockbuster’s frontier that defined an industry maximum.

The risks *of* Blockbuster’s strategy were captured primarily in the possibility that there was simply no longer enough business along that portion of the industry’s frontier that Blockbuster defined to sustain the company’s current operations, never mind continued growth. The risks *to* Blockbuster lay predominantly in the possibility that either or both of Redbox or Netflix would continue to innovate—to break the tradeoffs that defined their own frontiers in ways that allowed them to subsume that remaining portion of Blockbuster’s frontier that still defined the industry’s maximum.

Assessing Strategic Risks

The disaster that eventually befell Blockbuster was by no means assured, but neither was it entirely unforeseeable. The tradeoffs at the heart of Blockbuster’s strategy had not changed since the company’s inception: Convenience, selection and availability defined the company’s value proposition to customers. Providing that value demanded a capital- and labor-intensive model. Embracing these tradeoffs in ways that mom-and-pop stores couldn’t (for lack of capital) and grocery stores wouldn’t (because it would have corrupted their ability to compete as grocery stores) allowed Blockbuster to outcompete its rivals. Thanks to its scale, Blockbuster very likely also had lower unit costs than its would-be competitors. Leveraging its position and assets, the company was able to branch out into game rentals and all manner of ancillary retail: once you have the locations and the labor, it’s easy to plug in a different kind of disc (the games) and to sell soda pop and candy to go with the movie. The result was more than fifteen years of remarkable, and remarkably profitable, growth.

New models defined by Redbox and Netflix created new risks *of* Blockbuster’s strategy. They had not broken the fundamental tradeoffs among capital, labor, convenience, and selection that defined Blockbuster’s position. Rather, these entrants embraced fundamentally different tradeoffs. The only way Blockbuster could have responded was by emulating them, creating new divisions that embraced the same tradeoffs these entrants were exploiting in order to hive off some of Blockbuster’s market share.

Why didn’t Blockbuster start its own mail-order operations in the late 1990s or at least the early 2000s? In fact, why didn’t Blockbuster simply acquire Netflix in 2000, when it could have been had for \$50 million and had fewer than 500,000 subscribers? But Blockbuster waited until 2004 to launch Blockbuster Online, by which point Netflix was closing in on 5 million subscribers.

In hindsight, it is easy to fault Blockbuster for not having pursued a different course. Such finger-pointing might be entertaining, but it is not instructive. Through the mid-2000s, it was entirely defensible to interpret both Netflix and Redbox as manifestations of the risks *of* Blockbuster’s strategy and little more. Creating new divisions or acquiring these entrants

would have almost certainly have been material drains on management time and attention, creating new and potentially dysfunctional levels of complexity within the organization. After all, the dangers of unfettered diversification are well documented and well understood, and the bankruptcy courts are replete with the stories of those who succumbed to what turned out to be corporate bloat. Similarly, the virtues of focus are amply heralded in the popular and scholarly management literature. There was good reason for Blockbuster to stick to its knitting.

The framework used in this book prescribes that the first step in effective risk *assessment* is *identifying* the risk. The definitions of “strategy” and “innovation” offered here provide a rigorous analytical framework for identifying your strategic risks, specifically, the risks *of* and *to* your strategy.

Identifying strategic risks requires that you understand the relative shape of your competitors’ possibility frontiers compared to your own, as well as how each maps to the critical elements of customer value.

At first blush, this might sound a little bit like “figure out whether competitors can give customers what they want better than you can,” but this extended discussion of Blockbuster’s travails has given us a powerful language that reveals important subtleties.

Every strategy necessarily embraces tradeoffs among different dimensions of performance. A successful strategy embraces tradeoffs that maximize what the greatest number of customers is willing to pay the most for. This can be difficult to determine in advance, so a great deal of competitive activity takes the form of jockeying for position, testing different approaches to a market, and finding out via trial and error what really works.

Once a successful strategy has been found—either through careful analysis and bold commitment, or through experimentation and incremental evolution—existing and new competitors will define the risks *of* your strategy as they create their strategies. That is, the risk implicit in the choices you have made will become explicit in light of the choices they make.

Blockbuster bet on the primacy of convenience, availability, and selection and invested heavily to deliver on those dimensions of performance. That meant big investments in assets and people, which, in turn, required high prices in the form of rental and late fees. This particular combination of performance attributes was better than the available alternatives for almost fifteen years and was possible only by embracing the very same tradeoffs among those attributes.

Netflix and then Redbox made very different choices, giving up specific dimensions of convenience (Netflix) or availability and selection (Redbox) in exchange for dramatically lower prices. In both cases, these companies enjoyed some material success, and Blockbuster would have done well to keep an eye on just how much of the market for rentals was migrating to these alternative offerings.

It is at this point that we can move from *identifying* strategic risks to *analyzing* them. To understand the risks posed by competitors’ strategies, it is worth looking to the nature of the competitive offerings that a successful incumbent has vanquished in the past. Blockbuster, having put paid to literally tens of thousands of smaller focused rental operators and the deeper-pocketed but less committed convenience and grocery stores, might well have taken the view that Netflix and Redbox were simply sequels to a movie it had seen before. But whereas earlier competitors

were playing essentially the same game as Blockbuster, but less well, Netflix and Redbox had fundamentally different strategies: They were playing a different game.

Beyond understanding simply the shape of the frontiers defined by these alternative strategies, it would likely have been possible to generate meaningful insight into the nature and rate of the expansion of these frontiers. Whereas customer reaction (demand-side response) would help limn the threats *of* the strategy, looking to potential technological and process changes relevant to your competitors (supply-side evolution) provides insight into the risks *to* the strategy.

Once again, it is only in hindsight that online video streaming and high-density kiosks were the “inevitable” innovations that would invalidate the tradeoffs that defined Blockbuster’s strategy. Deciding precisely what to do, when viewing Blockbuster’s choices from Blockbuster’s perspective at that point in time, requires not post hoc mockery but a fair-minded attempt to *prioritize* (the next step in risk *assessment*) the risks *of* and *to* the strategy that these competitors had created.

First, the question is whether the risks *to* the strategy are sufficiently grave to warrant a significant and immediate response. That is, were first Netflix and then Redbox actually bleeding away enough business that Blockbuster could simply no longer compete with its assets-and-selection model? Given Blockbuster’s growth through the early 2000s, and the relatively small size of Netflix and Redbox, it would be difficult to claim that these entrants, in their initial forms, posed the sort of challenges that required a dramatic and drastic shift in Blockbuster’s strategic position. Competition is rarely good for your business, but it is often manageable risk. Emulating a competitor’s successful model is often an option even after a competitor has captured a viable and durable market niche. Competitive, if not peaceful, coexistence is often possible even after a late entry.

In contrast, despite the uncertainties, the gravity of the threats *to* Blockbuster’s strategy posed by the effects of innovation by Netflix and Redbox were, even at the time, relatively predictable. Netflix’s online customer interface was Internet-based. Internet-based music services were bubbling up in the late 1990s and became especially credible with the rapid success of Apple’s iTunes, launched in 2004. Early 2005 saw the launch of YouTube, which made video streaming over the Internet increasingly credible. This made the commercially viable streaming of movies over the Internet at least thinkable. The full scope of the risk *to* Blockbuster’s strategy could have been seen quite clearly by combining these technical and business model advances with the observation that all content migrates to every possible medium: After all, Hollywood studios fought the rise of videotape rentals!

This discussion has implications for the *treatment* that Blockbuster might have applied to these risks. The risks *of* Blockbuster’s strategy very likely demanded a “watchful waiting” response. Mail-order and kiosk distribution channels were not characterized by significant barrier to entry or material customer switching costs, so being a relatively late entrant would not have been debilitating. Moving too soon or, worse, unnecessarily would have meant making significant investments in businesses that would have very likely cannibalized its existing business. It was therefore entirely defensible to *mitigate* this risk *of* the strategy by simply paying very close attention to the evolution of the market and developing contingency plans.

The risks *to* Blockbuster's strategy, defined largely by Netflix, were quite different. The nature of the deals Netflix struck with customer premises equipment (e.g., game console makers and consumer electronics companies) and with Hollywood studios for distribution are far more difficult to replicate than simply alternative distribution channels for DVDs. Customers tend to be much less likely to subscribe to multiple services than to shop at different stores, creating switching costs. Consequently, the downside of being late to the video streaming business was far greater. Innovation within Blockbuster's bricks-and-mortar based activity was fundamentally limited: Its core assets simply weren't sufficiently fungible to respond to Netflix's expanding frontier. That was not a consequence of bad management, but of the ineluctable differences between atoms and bits. An effective response very likely demanded emulating that new strategy. But when? Committing or waiting were both very risky bets given the uncertainty.

A more effective treatment here is one that actively *reduced* the risk, and that would have meant setting up an independent division that had the explicit mandate of exploring the potential of video streaming as an alternative distribution channel for video entertainment. Doing this effectively can be tremendously difficult, but research in this area has some practical advice to offer.⁴

Perhaps the most critical dimension is understanding that in these circumstances, launching a new division creates value by reducing strategic risk, not by generating cash flows. In Blockbuster's case, that would have meant that a video streaming division would have been best valued as an *option* on future possibilities rather than a *commitment* to a specific commercial opportunity. This, in turn, would mean that the division would operate under a clear and often constraining strategic mandate: Do *not* attempt to build a successful video rental business; seek *only* to build a successful video streaming business. Commitment to this success would lie entirely at the level of this new operating division, while the division's value to the larger corporation would have to be assessed at the corporate level based on the combination of the operation's cash flows, the effect on the effectiveness of the larger organization (thanks to the burdens of incremental complexity), and the reduced strategic risk Blockbuster faced thanks to the division's existence. The resulting option is correctly seen as a *strategic* option because it creates the possibility of changing Blockbuster's activity set in a way that alters its frontier—that is, in a way that fundamentally changes its strategy (Table 16-1).

Table 16-1 The Elements of Strategic Risk Assessment

Stage of Risk Assessment	Activities
Identification	Specify the shape of the frontiers of competing activity sets
Analysis	Estimate the rate and nature of customer adoption the expansion of competitors' frontiers
Prioritization	Estimate the timing and magnitude of the resulting risks of the strategy due to customer adoption to the strategy due to frontier expansion
Treatment	Decide whether the nature of the risks permits mitigation: watchful waiting and contingency planning treatment: the development of strategic options through targeted investment

Strategy, Innovation, and Flexibility

Every company operating in dynamic and competitive markets is playing at least three games at once. The first is the current, cross-sectional, or point-in-time game, defined by the strategic choices made by the company and its competitors. The rules of this game are defined by the tradeoffs that define each company’s activity set and, hence, competitive position. The second is the future-oriented, longitudinal, or across-time game, defined by innovations that change the rules by breaking those same tradeoffs. And the third is defined by the uncertainties that surround each of the first two.

Successful strategies are often characterized by deep commitments to building capabilities optimized to meet the particular needs of specific customer segment.⁵ Yet committing in the face of uncertainty necessarily creates the risk that the wrong—and perhaps very wrong—commitment has been made.

The identification and analysis of strategic risks has tended to focus on the need for more creative and less hide-bound thinking. Individual and collective cognitive biases can make it very difficult for people and organizations to see what they should. Proposed remedies can be very helpful in expanding the horizons of corporate leaders, allowing them to take seriously credible threats that might otherwise have been dismissed.

Being too expansive in risk identification can be just as damaging as, if not more damaging than, being too limited, however: Once unleashed, our imaginations can concoct all manner of horrors lurking in the shadows. The hope here is that thinking of strategy in terms of tradeoffs among activities within an activity set provides a rigorous and systematic way to identify the magnitude and nature of strategic risks—namely, in terms of risks *of* and *to* a company’s chosen strategy.

When it comes to treating strategic risks, there has been a tendency among many researchers to favor adaptability—the ability to change strategies rapidly. This, however, begs the question of how to create a changeable strategy without undermining the defining characteristic of a good strategy—namely, that it is built on commitments made over time and hence intrinsically difficult to change quickly. And so a central challenge that has long defined attempts to manage strategic risk is what might be called a “meta tradeoff” between commitment and adaptability.

Here the notion of “strategic *flexibility*” is invoked to capture the attributes of treating strategic risks with strategic options. Staying committed to an established and successful business is almost always a good idea. Compromising the power of existing commitments based on the possibility that they might be inappropriate at some point in the future is certainly a rational choice but is perhaps an unnecessary one. Devoting some resources—as a form of “strategic insurance policy”—to exploring alternative strategies that are tied to different innovation trajectories can create the option of shifting to a new strategy when and as relevant risks materialize.

It is by preserving the power of commitment with benefits of adaptability that strategic flexibility breaks the long-standing tradeoff between the two and is, just maybe, an innovation in the management of strategic risk.

Notes

1. The details on Blockbuster and, for the purposes of this chapter, its relevant competitors Redbox and Netflix, are taken from the Wikipedia entries for each company. The sources cited in these entries for the facts adduced here have been verified.
2. Michal E. Raynor and Mumtaz Ahmed, *The Three Rules: How Exceptional Companies Think* (New York: Portfolio, 2013).
3. This definition of “strategy” is extrapolated from Porter, Michael E. (1996), “What Is Strategy?” *Harvard Business Review*, and from Raynor, Michael E., *The Innovator’s Manifesto* (New York: Currency/Doubleday, 2011).
4. Michael E. Raynor, *The Strategy Paradox: How Committing to Success Leads to Failure... and What to Do about It* (New York: Currency/Doubleday, 2007).
5. Pankaj Ghemawat, *Commitment: The Dynamic of Strategy* (New York: The Free Press, 1991).